

Allocation of Responsibilities

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to every `_firm_` that is:

1. (1) a `_CRR firm_` ;
2. (2) a `_credit union_` ; or
3. (3) a `_third country CRR firm_` in relation to:
 1. (a) the activities of its establishment in the `_UK_` ; or
 2. (b) if it does not have an establishment in the `_UK_` , activities in the `_UK_` .

1.1A

This Part does not apply to a `_SRO firm_`.

1.2

In this Part, the following definitions shall apply:

`_compliance oversight function_`

means an FCA controlled function specified in SUP 10C.6.1R of the `_FCA Handbook_`.

`_Credit Union Senior Manager function_`

has the meaning given in Senior Management Functions 6.2.

`_FCA approved person_`

means a `_person_` approved to perform an `_FCA controlled function_` by the `_FCA_` under section 59 of `_FSMA_`.

`_FCA Chair of nomination committee function_`

means an `_FCA controlled function_` specified in SUP 10C.5A.3R of the `_FCA Handbook_`.

`_FCA designated senior management function_`

means an `_FCA controlled function_` specified in SUP 10C.4.3R of the `_FCA Handbook_`.

`_FCA other local responsibility senior management function_`

means the `_controlled function_` specified in SUP 10C.8.1R of the `_FCA Handbook_`.

FCA other overall responsibility senior management function

means the _FCA controlled function_ specified in SUP10C.7.1R of the _FCA Handbook_.

Group Entity Senior Manager function

has the meaning given in Senior Management Functions 5.2.

management responsibilities map

has the meaning given in 7.

oversight PRA senior management function

means a _PRA senior management function_ set out in Senior Management Functions 4.

prescribed responsibility

means one of the responsibilities in 4.1 and 4.2.

proprietary trading

means

1. (a) the _regulated activity_ of _dealing in investments as principal_ as specified in Article 14 of the _Regulated Activities Order_ (Dealing in investments as principal), disregarding the exclusion in Article 15 of the _Regulated Activities Order_ (Absence of holding out etc.); and

2. (b) _ancillary activities_ and (in relation to _MiFID business_) _ancillary services_ carried out in relation to the _regulated activity_.

recovery plan

has the meaning given in Recovery Plans 1.2.

resolution pack

has the meaning given in Resolution Pack 1.2.

ring-fencing obligation

means any obligation, prohibition or other requirement imposed on a _ring-fenced body_ by or under _FSMA_, by virtue of it being a _ring-fenced body_, including any _statutory instrument_ made under _FSMA_ and any _ring-fencing rule_, but not including any rule made by the _FCA_.

ring-fenced body prescribed responsibility

means the responsibility in 4.2(4)".

senior management regime

means the requirements of the _regulatory system_ which apply to _relevant authorised persons_ insofar as they relate to _approved persons_ performing _PRA senior management functions_ and _FCA designated senior management functions_, including those set out in Senior Management Functions, and Allocation of Responsibilities and Fitness and Propriety.

small CRR firm

means a **_CRR firm_** which has gross total assets of £250 million or less, determined on the basis of the annual average amount calculated across a rolling period of five years (calculated by reference to the **_firm's_** annual accounting date). Where the **_firm_** has been in existence for less than five years, the calculation will be made on the basis of the annual average amount for the period during which the **_firm_** has been in existence (calculated by reference to the **_firm's_** annual accounting date).

small firm prescribed responsibility

has the meaning given in 5.2.

statement of responsibilities

means a statement of the affairs of a **_relevant authorised person_** or a **_third country CRR firm_** for which it is intended that a **_person_** who performs (or is subject to an application to perform) a **_PRA senior management function_** is (or will be) responsible.

third country CRR firm prescribed responsibility

means one of the responsibilities in 6.2 or 6.3.

1.3

This Part does not apply to a function performed by:

1. (1) a **_person_** acting as an insolvency practitioner within the meaning of section 388 of the Insolvency Act 1986; or
2. (2) a **_person_** acting as a nominee in relation to a voluntary arrangement under Parts I (Company Voluntary Arrangements) and VIII (Individual Voluntary Arrangements) of the Insolvency Act 1986; or
3. (3) a **_person_** acting as an insolvency practitioner within the meaning of Article 3 of the Insolvency (Northern Ireland) Order 1989; or
4. (4) a **_person_** acting as a nominee in relation to a voluntary arrangement under Parts II (Company Voluntary Arrangements) and VIII (Individual Voluntary arrangements) of the Insolvency (Northern Ireland) Order 1989.

2

Statement of Responsibilities

2.1

A **_firm_** must ensure that any application it makes for the approval of a **_person_** to perform a **_PRA senior management function_** is accompanied by a **_statement of responsibilities_**.

2.2

A **_firm_** must ensure that the **_statement of responsibilities_** accompanying an application for approval to perform a **_PRA senior management function_** in relation to it includes any **_prescribed responsibilities_**, **_small firm prescribed responsibilities_**, **_third country CRR firm prescribed responsibilities_**, **_FCA responsibilities_** and other responsibilities allocated to, and which are to form part of the responsibilities of, that **_person_**.

2.3

A **_firm_** must ensure that any responsibilities allocated to, and that form part of the responsibilities of, a **_person_** who performs a **_PRA senior management function_** in relation to it are consistent with the scope of that **_PRA senior management function_** and of any **_prescribed responsibilities_**, **_small firm prescribed responsibilities_**, **_third country CRR firm prescribed responsibilities_**, **_FCA responsibilities_** and other responsibilities allocated to that **_person_**.

2.4

1. (1) A _firm_ must have, at all times, a complete set of current and up to date _statements of responsibilities_ for all _persons_ approved to perform a _PRA senior management function_ on its behalf.
2. (2) A _firm_ must prepare a _statement of responsibilities_ for each _PRA approved person_ as a single document covering every _PRA senior management function_ and _FCA designated senior management function_ for which
 1. (a) the _PRA approved person_ has approval from the _PRA_ or the _FCA_ , as the case may be, to perform; or
 2. (b) an application for approval is being made.

3

Allocation of Responsibilities

3.1

1. (1) A _firm_ (other than a _small CRR firm_ , a _credit union_ or a _third country CRR firm_) must allocate each of the _prescribed responsibilities_ set out in 4.1 (other than 4.1(13) to (19)) to one or more _persons_ who perform:
 1. (a) a _PRA senior management function_ ; or
 2. (b) subject to 3.6"(1), an _FCA designated senior management function_
 3. on behalf of the _firm_.
2. (2) If the circumstances set out in a _prescribed responsibility_ in 4.2 (1), (2), or (3) apply to a _firm_ (other than a _small CRR firm_ , a _credit union_ or a _third country CRR firm_), the _firm_ must allocate the _prescribed responsibility_ to one or more _persons_ who perform:
 1. (a) a _PRA senior management function_ ; or
 2. (b) subject to 3.6"(1), an _FCA designated senior management functions_
 3. on behalf of the _firm_.

3.2

1. (1) A _firm_ (other than a _small CRR firm_ , a _credit union_ or a _third country CRR firm_) must allocate each of the _prescribed responsibilities_ in 4.1(13) to (19) to one or more persons who perform:
 1. (a) an _oversight PRA senior management function_ ; or
 2. (b) the _FCA Chair of nomination committee function_
 2. on behalf of the _firm_.

3.3

1. (1) A _small CRR firm_ must allocate each of the _small firm prescribed responsibilities_ to one or more _persons_ who perform:
 1. (a) a _PRA senior management function_ ; or
 2. (b) subject to 3.6(2), an _FCA designated senior management function_
 3. on behalf of the _small CRR firm_.
2. (2) A _credit union_ must allocate each of the _small firm prescribed responsibilities_ to one or more _persons_ who perform:
 1. (a) the _Credit Union Senior Manager function_ ; or
 2. (b) subject to 3.6(2), an _FCA designated senior management function_
 3. on behalf of the _credit union_.

3.4

A firm which is a ring-fenced body must ensure that the ring-fenced body prescribed responsibility is allocated to each person who:

1. (1) performs a PRA senior management function or, subject to 3.6(1), an FCA designated senior management function; and
2. (2) is responsible for managing any area of the ring-fenced body's business that is subject to a ring-fencing obligation

on behalf of the firm.

3.5

A third country CRR firm must allocate each of the third country CRR firm prescribed responsibilities to one or more persons who perform:

1. (1) a PRA senior management function; or
2. (2) subject to 3.6(3), an FCA designated senior management function

on behalf of the third country CRR firm.

3.6

1. (1) A firm must not allocate a prescribed responsibility to a person who performs an FCA other overall responsibility senior management function.
2. (2) A small CRR firm or a credit union must not allocate a small firm prescribed responsibility to a person who performs an FCA other overall responsibility senior management function.
3. (3) A third country CRR firm must not allocate a prescribed responsibility to a person who performs an FCA other local responsibility senior management function.

4

Prescribed Responsibilities

4.1

Each of the responsibilities set out in this rule is a prescribed responsibility :

1. (1) responsibility for the firm's performance of its obligations under the senior management regime (PR A);
2. (2) responsibility for the firm's performance of its obligations under the certification regime (PR B);
3. (3) responsibility for compliance with the firm's obligations in relation to its management responsibilities map (PR C);
4. (4) responsibility for the firm's performance of its obligations under Fitness and Propriety in respect of notified non-executive directors (PR U);
5. (5) responsibility for monitoring effective implementation of policies and procedures for the induction, training and professional development of senior management, other than members of the governing body (PR G);
6. (6) responsibility for overseeing the adoption of the firm's culture in the day-to-day management of the firm (PR H);
7. (7) responsibility for managing the allocation and maintenance of the firm's capital, funding and liquidity (PR O);
8. (8) responsibility for the firm's treasury management functions (PR P);
9. (9) responsibility for the production and integrity of the firm's financial information and its regulatory reporting under the regulatory system (PR Q);
10. (10) responsibility for developing and maintaining the firm's recovery plan, resolution pack and, where

- relevant, resolution assessment, and for overseeing the internal processes regarding their governance __ (PR R);
11. (11) responsibility for managing the _firm?s_ internal stress-tests and ensuring the accuracy and timeliness of information provided to the _PRA_ and other regulatory bodies for the purposes of stress- testing __ (PR S);
 12. (12) responsibility for the development and maintenance of the _firm?s_ _business model by the _governing body_ __ (PR T);
 13. (13) responsibility for leading the development and monitoring effective implementation of policies and procedures for the induction, training and professional development of all members of the _firm?s_ __governing body__ (PR F);
 14. (14) responsibility for leading the development of the _firm?s_ culture by the _governing body_ as a whole __ (PR I);
 15. (15) responsibility for safeguarding the independence of, and overseeing the performance of, the internal audit function, including the performance of a _person_ approved to perform the _Head of Internal Audit function_ on behalf of the _firm_ , in accordance with Compliance and Internal Audit 3 __ (PR J);
 16. (16) responsibility for safeguarding the independence of, and overseeing the performance of, the compliance function, including the performance of a _person_ approved by the _FCA_ to perform the _compliance oversight function_ on behalf of the _firm_ , in accordance with Compliance and Internal Audit 2 __ (PR K);
 17. (17) responsibility for safeguarding the independence of, and overseeing of the performance of, the risk function , including the performance of a _person_ approved to perform the _Chief Risk function_ on behalf of the _firm_ , in accordance with Risk Control 3.4 and 3.5 __ (PR L);
 18. (18) responsibility for overseeing the development of, and implementation of the _firm?s_ remuneration policies and practices in accordance with Remuneration __ (PR M);
 19. (19) responsibility for the independence, autonomy and effectiveness of the _firm?s_ policies and procedures on whistleblowing, including the procedures for protection of staff who raise concerns from detrimental treatment __ (PR N);
 20. (20) responsibility for the allocation of all _prescribed responsibilities_ in accordance with 3.1 __ (PR E);
 21. (21) responsibility for the _firm?s_ performance of its obligations under Outsourcing __ (PR X).

4.2

Each of the responsibilities set out in this rule is a _prescribed responsibility_ in the circumstances specified:

1. (1) if the _firm_ carries out _proprietary trading_ , responsibility for the _firm?s_ proprietary trading_ activities (PR V);
2. (2) if the _firm_ does not have a _person_ who performs the _Chief Risk function_ , responsibility for the compliance of the _firm?s_ risk management systems, policies and procedures with the requirements of Risk Control 2.1 to 2.4 (PR W);
3. (3) if the _firm_ outsources its internal audit function, responsibility for taking reasonable steps to ensure that every _person_ involved in the performance of that function is independent from the _persons_ who perform external audit, including:
 1. (a) supervision and management of the work of outsourced internal auditors; and
 2. (b) management of potential conflicts of interest between the provision of external audit and internal audit services (PR J1);
4. (4) if the _firm_ is a _ring-fenced body_ , responsibility for ensuring that those aspects of the _firm?s_ affairs for which a _person_ is responsible for managing are in compliance with the _ring-fencing obligations_ (PR Y).

5

Prescribed Responsibilities: Small Firms

5.1

This Chapter applies only to

1. (1) a small _CRR firm_ ; and

2. (2) a _credit union_.

5.2

Each of the responsibilities listed in this rule is a _small firm prescribed responsibility_ :

1. (1) each of the _prescribed responsibilities_ in 4.1(1) ? (3);
2. (2) responsibility for allocation of all _small firm prescribed responsibilities_ in accordance with 3.3(1) or (2), as the case may be (PR E);
3. (3) responsibility for implementing and managing the _firm?s_ risk management policies and procedures (PR AA);
4. (4) responsibility for managing the systems and controls of the _firm_ (PR BB);
5. (5) responsibility for managing the _firm?s_ financial resources (PR CC);
6. (6) responsibility for ensuring the _governing body_ is informed of its legal and regulatory obligations (PR DD).

6

Prescribed Responsibilities: Third Country CRR Firms

6.1

This chapter applies only to a _third country CRR firm_ in relation to:

1. (1) the activities of its establishment in the _UK_ ; or
2. (2) if it does not have an establishment in the _UK_ , its activities in the _UK_.

6.2

Subject to 6.3, each of the responsibilities set out in this rule is a _third country CRR firm prescribed responsibility_ :

1. (1) responsibility for the _firm?s_ performance of its obligations under the _senior management regime_ , including implementation and oversight (PR A);
2. (2) responsibility for the _firm?s_ performance of its obligations under the _certification regime_ (PR B);
3. (3) responsibility for compliance with the _firm?s_ obligations in relation to its _management responsibilities map_ (PR C);
4. (4) responsibility for management of the _firm?s_ risk management processes in the _UK_ (PR AA);
5. (5) responsibility for the _firm?s_ compliance with the _UK _regulatory system _applicable to the _firm_ (PR FF);
6. (6) responsibility for the escalation of correspondence from the _PRA_ , _FCA _and other regulators in respect of the _firm_ to the _governing body_ and/or the _management body_ of the _firm_ , or, where appropriate, of the _parent undertaking_ or _holding company_ of the _firm?s _group_ (PR EE);
7. (7) responsibility for management of the _firm?s_ systems and controls in the _UK_ (PR BB);
8. (8) responsibility for the allocation of all _third country CRR firm prescribed responsibilities_ in accordance with 3.5 (PR E);
9. (9) responsibility for management of the _firm?s_ liquidity or, where a liquidity waiver is in place, the submission of information to the _PRA_ on the _firm?s_ liquidity position (PR HH);
10. (10) responsibility for the production and integrity of the _firm?s_ financial information and its regulatory reporting in respect of its _regulated activities_ (PR Q);
11. (11) if the _firm_ has an establishment in the _UK_ , responsibility for the _firm?s_ performance of its obligations under Internal Governance of Third Country Branches 7 (PR X1).

6.3

In relation to a firm who is treated, by virtue of the EEA Passport Rights (Amendment, etc and Transitional Provisions) (EU Exit) Regulations 2018, as having a Part 4A permission to carry on a regulated activity :

1. (1) the third country CRR firm prescribed responsibilities in 6.2 do not apply; and
2. (2) each of the responsibilities set out in this rule is a third country CRR firm prescribed responsibility :
 1. (a) responsibility for the firm's compliance with the UK regulatory system applicable to the firm (PR FF); and
 2. (b) where the firm has applied for a Part 4A permission to carry on a regulated activity , until such time as the application has been determined or withdrawn, the responsibility for managing the process of obtaining such permission (including, without limitation, the completion and submission of the firm's application and providing the PRA with such co-operation and with all accurate and up to date information that it may reasonably require in order to determine whether the requirements for authorisation have been met).

7

Records

7.1

A firm must at all times have a comprehensive and up-to-date single document (a management responsibilities map) that describes the firm's management and governance arrangements including:

1. (1) details of the reporting lines and the lines of responsibility; and
2. (2) reasonable details about the persons who are part of these arrangements;
3. (3) the responsibilities of those persons.

7.2

A management responsibilities map must in particular include:

1. (1) the names of all the firm's approved persons (including FCA approved persons), notified non-executive directors , credit union non-executive directors and senior management and the responsibilities held by each, including all FCA responsibilities ;
2. (2) if any PRA senior management functions or FCA designated senior management functions are performed by more than one person , or any prescribed responsibilities , small firm prescribed responsibilities or third country CRR firm prescribed responsibilities , as the case may be, are allocated to more than one person , details of how the performance or discharge of the responsibilities is to be carried out by those persons ;
3. (3) matters reserved to the management body (including the terms of reference of its committees) including, in the case of a third country CRR firm , the equivalent body (or its committees) responsible for the management of the third country CRR firm's business and activities in the UK ;
4. (4) where the firm is a member of a group ;
 1. (a) how the firm's management and governance arrangements fit together with those of its group and the extent to which the firm's management and governance arrangements are provided by or shared with other members of its group ; and
 2. (b) details of the reporting lines and the lines of responsibility (if any) to persons who are employees or officers of other group members or to committees or other bodies of the group or of other group members; and
5. (5) details of how the matters set out in (1) to (4) fit into the firm's management and governance arrangements as a whole.

7.3

If the content of a statement of responsibilities is modified or revised, a firm must send a copy of that revised statement of responsibilities to the PRA as soon as possible.

7.4

A _firm_ must retain a copy of each version of:

1. (1) its _management responsibilities map_ ; and
2. (2) the _statement of responsibilities_ for each person who performs or has performed a _PRA senior management function_ for the _firm_

for a period of ten years from the date on which the _management responsibilities map_ or the _statement of responsibilities_ , as the case may be, is superseded by a more up-to-date version.

8

Chair of the Governing Body's Office

8.1

A _firm_ (other than a _third country CRR firm_) must ensure that the office of the _Chair of the Governing Body function_ has resources that are adequate as to both quality and quantity to enable it to fulfil its role within the _firm_.